



PAN-ATLANTIC
UNIVERSITY

12.5
Economics department
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DEPARTMENT OF ACCOUNTING
SCHOOL OF MANAGEMENT AND SOCIAL SCIENCES
PAN-ATLANTIC UNIVERSITY, IBEJU-LEKKI, LAGOS

2023/2024 Academic Session (First Semester Test)

FIN 101: Introduction to Finance

Number of Units: 2

Time: 50 minutes

INSTRUCTION: ATTEMPT ALL QUESTIONS

Section A

- 15
1. A market where money is bought and sold on short term is known as... money market
 2. In the evolution of finance, which phase was portfolio management developed a. traditional phase b. modern phase c. transitional phase
 3. The following function is handled by the treasurer except a. credit management b. cash management c. portfolio management d. internal audit
 4. The transitional phase focus on sourcing and utilizing Funds
 5. Finance is regarded as the sourcing and effective utilization of funds
 6. Wealth maximisation maximizing the net present value of a course of action to shareholders.
 7. Critics of profit maximization argue that profit maximization takes into account risk and uncertainty. True False
 8. All of the following includes examples of non-financial objectives except a. wealth maximization b. management welfare c. quality services to customers
 9. A firm investment decision can either be long-term and short-term
 10. Financing decision involves deciding on the firm capital structure a. financing b. investment c. dividend d. liquidity
 11. The best financing mix is said to be one which investment maximizes the shareholder's wealth with limited risk. low
 12. The transitional phase began in the early 1940's to early 1950's a. 1940's/1950's b. 1950's/1960's c. 1930's/1940's d. 1980's/1990's
 13. The key concern of financial management during modern phase has to do with matching funds to its use to maximize the wealth of shareholders.
 14. In the modern approach, the scope of financial management involves taking 4 broad decisions. a. 4 b. 3 c. 5 d. 2

15. The treasurer is the officer responsible for the firm's finance and investment activities. a Treasurer b. Controller c. none of the above

Section B

Question 1

- A firm's financial objectives are usually classified into profit maximization and wealth maximization. Why do you think a firm should pursue wealth maximization rather than profit maximization.
- Dividend decision involves addressing what portion of the firm's profit should be retained and what portion should be distributed as dividend to shareholders. As a finance director of Quick Nigeria Limited list six factors to take into consideration when making a dividend decision.
- As a chief finance officer of your organization, briefly explain how you will estimate your firm financial needs.

Question 2

- Nanci Nig. Ltd has a liability of ₦5,000,000 which must be settled in five years. The firm is interested in knowing what amount must be invested now to have ₦5,000,000 in 5 years if the investment will earn 12% interest compounded annually. Assuming interest is compounded semi-annually, how much do you think the firm needs to invest now?
- Your friend studying philosophy is interested in knowing how the field of finance differs from accounting. What answer will you provide to your friend?
- The decisions in financial management are all inter-related. Discuss.

dividend
financing
liquidity
investment

PV =



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Department of Accounting

2023/2024 Academic Session (First Semester
Examination)

PAU-ECO 109: Introduction to Finance 1 Time allowed: 3 Hours

INSTRUCTION: YOU ARE REQUIRED TO ANSWER THREE OUT OF FIVE QUESTIONS IN THIS PAPER.

Question 1

Boss TV is one of the major TV stations in the country, boasting a current viewership of 50 million. Below is the statement of profit or loss and other comprehensive income for Boss TV for December 2023.

Statement of Profit or Loss and Other Comprehensive Income for the year ended 31st December 2023

	Boss TV
	N'000
Revenue	3,000,000
Cost of Sales	<u>1,600,000</u>
Gross Profit	1,400,000
Other Income	600,000
Selling Expenses	500,000
Administrative Expenses	<u>250,000</u>
Net Operating Income	1,250,000
Interest expense	<u>(150,000)</u>
Profit Before Tax	1,100,000
Taxation	<u>330,000</u>
Profit for the year	770,000
Other Comprehensive Income (Net of Taxes)	<u>300,000</u>
Total Comprehensive Income	<u>1,070,000</u>

The financials of Boss TV indicate that the firm currently holds a 10% ₦1,500,000 debt in its capital structure, while the firm's cost of equity stands at 15%.

Required:

- i. ✓ Compute the value of Boss TV and its overall cost of capital using the net income approach. **(5 marks)**
- ii. ✓ Assuming Boss TV debt is raised to ₦2,000,000 while all other items remain constant, what is the effect of the debt increase based on the net income approach? **(5 marks)**
- iii. ✓ One of the basic concerns of the finance director is how to determine the apt capital structure of the firm. Discuss. **(5 marks)**
- iv. ✓ List FIVE (5) general assumptions underlying capital structure theories and briefly explain how capital structure determines the risk assumed by the firm and affects a firm's liquidity and flexibility. **(5 marks)**

Total marks = 20

Question 2

- a. ✓ A firm's financial objectives are usually classified into profit maximization and wealth maximization. Why do you think a firm should pursue wealth maximization rather than profit maximization. **(2.5 marks)**
- b. ✓ As a chief finance officer of your organization, briefly explain how you will estimate your firm's financial needs. **(2.5 marks)**
- c. ✓ The concept of time value of money implies that the purchasing power of money differs with the passage of time. Briefly State FOUR (4) of the various factors that affect time value of money. **(2 marks)**
- d. ✓ K5 Ltd has obtained a bank loan of ₦1,000,000 at an interest rate of 10% p.a. If repayment of the loan is to be done for three (3) years through equal installments payments, ascertain how much K5 Ltd needs to deposit to liquidate the loan in 3 years and prepare an amortization schedule showing how the loan will be repaid. **(3 marks)**
- e. ✓ Nora Plc set up an endowment fund that will pay ₦100,000 annually in scholarships from its retained earnings forever as part of its corporate social responsibility. Assuming the interest rate is 15% per annum and it is expected to grow at 5%, what is the value of the endowment fund? **(5 marks)**

Total marks = 15

Question 3

- a. Tunde Alabi makes the following deposit for four years in Bright Bank Plc.

Year	Deposit (₦)
1	1,000,000
2	2,000,000
3	3,000,000
4	4,000,000

How much will Tunde earn at the end of 4 years given that interest is compounded annually at 10% and:

- Deposit is made at the beginning of the year. (2.5 marks)
- Deposit is made at the end of the year. (2.5 marks)
- Provide reasons for differences in your answer. (2.5 marks)
- Compute the total interest earned by Tunde Alabi if deposit is made at the end of the year. (5 marks)
- Given a choice to choose between interest compounded daily, annually, or quarterly on your investment. Which one will you choose and why? (2.5 marks)

Total marks = 15

Question 4

- The four key decisions that finance managers often make are all interrelated. Discuss how these decisions are interconnected. (5 marks)
- Organizations cannot survive by focusing solely on profit. Briefly explain why a firm needs to pay close attention to its non-financial objectives to achieve the overall goal of the organization. (5 marks)
- Kunle Sabi purchased security for ₦3,800,000 a year ago. The security currently has a market value of ₦4,500,000. During the year, he received a dividend on his investment amounting to ₦250,000. **Required:** Ascertain Kunle Sabi rate of return from his investment. (2.5 marks)
- Investors usually consider the risk-return trade-off when making individual investment decision and portfolio decisions. State FOUR (4) factors the right risk-return trade-off depends on. (2.5 marks)

Total marks = 15

Question 5

Your firm, a leading investment and financial consultant in the country has just recruited several young finance and accounting graduates following recent positive signs in the country's economy. An in-house training programme is being planned for the young trainees and you are to facilitate on the subject titled **"Investment Decision"**.

- a. The head of training department expect you to explain the term investment decision and provides THREE (3) examples of investment decision. You are also expected to explain to the trainees why investment decision is a crucial decision for the finance director
(5 marks)
- b. In addition, the CFO also expects you to explain the various classification of capital projects with examples and explain the process of investment decision-making. (5 marks)
- c. The head of operations has asked you to use the following case study to illustrate how firm can make investment decision using the non-discounted cash flows.

A firm is considering selecting either project C or project K. You are provided with the following information regarding each project.

Year	Project C	Project K
	N	N
0	(1,600,000)	(1,900,000)
1	600,000	800,000
2	500,000	600,000
3	400,000	500,000
4	100,000	350,000
5	300,000	250,000
Scrap value	100,000	200,000
Project life span	5 years	5 years

From the above information, you are expected to show how investment decision is made using the non-discounted cash flow techniques given that the firm's target payback period is 3 years, and the accounting rate of return is 13% assuming depreciation is allowed on a straight-line basis.
(2.5 marks)

- d. You are also required to explain to the trainees the factors the CFO should take into consideration when making an investment decision.
(2.5 marks)

Total marks= 20